

**ENGLISH** **LIVE**

**30**

# **COMPREHENSION & VOCABULARY**

**UPSC / BANK PO / SSC / OTHERS**

**SESSION - 30**

**8<sup>th</sup> MARCH, 2017**

## RBI, Scrap These Cash Transaction Charges

In February, the government said that 20 million new zero-balance bank accounts had been created, ostensibly to get India's underbanked citizens into the formal financial system. Less than a month later, three of the country's largest private sector banks — ICICI, HDFC and Axis — have imposed costs on consumers for transactions in cash at bank branches. Only four cash withdrawals or deposits would be free per account in a branch. From the fifth transaction, a minimum of ₹150 would be added on as cost. ICICI Bank would levy an additional ₹5 every ₹1,000 transacted. ATM transactions are exempt, they say: only branch transactions are affected. Oh, really?



A country of 1.33 billion people has less than 2.2 lakh ATM machines, mostly confined to metropolitan sites. Everybody else in the vast hinterland has to operate through branch banking. Restricting third-party cash transactions to ₹25,000 per day as HDFC Bank proposes, or ₹50,000 per day, as ICICI Bank will have it, along with these new cash transaction costs, can destroy small and medium business, the informal and farm economy, and slam the brakes on growth.

Zero-balance and salary accounts have not been spared the four-transactions-per-month rule by private banks. If the government and Reserve Bank of India (RBI) do not step in immediately to stop private banks from imposing these transaction costs, state-owned banks might also follow suit. If that happens, then the hope of extending formal banking to most of India will be proved a farce. A new banking apartheid, which favours wealthy customers and large transactions and excludes the small person from the banking system, will become the norm. The aim should be to make digital transactions so easy and costless as to make use of cash look foolish.

THE ECONOMIC TIMES

3<sup>rd</sup> March, 2017

←  
DISCUSSION ON  
8<sup>th</sup> March (Today)

→  
DISCUSSION ON  
9<sup>th</sup> March (tomorrow)

## Finance Calls for Unified Regulation

The spat between Sebi and the RBI underlines it

Too much need not be read into a letter from markets regulator Sebi to banking regulator RBI on the latter's direct instructions to market participants in relation to trading in HDFC Bank shares. Sebi is in the right. The conduct of trade in securities is its business. The RBI, as the regulator for banks, is responsible for maintaining sectoral foreign investment caps. When the possibility of foreign investment in HDFC Bank breaching the permitted cap became clear, the RBI intervened to ask custodians to not clear trades any further. At first blush, it would seem that the right thing would have been for the RBI to ask Sebi to act. However, that is not the ideal solution.

The ideal solution is not for different regulators of the financial sector to cooperate, each minding the other's turf. The ideal solution is to have unified regulation of the financial sector, eliminating the question of turf transgression or unregulated no-man's land in financial markets. Financial markets intersect with one another,



the more developed they are. Credit default swaps (CDS) insure against the possibility of a bond holder not being paid when the time comes for its redemption. After the 2008 financial crisis, the effort has been to make credit default swaps guaranteed by a counterparty, as far as possible. That means

CDS should come under the purview of the markets regulator, although they are quintessentially insurance products. India took a significant step forward towards unified regulation when a separate commodities regulator was scrapped and Sebi was given charge of regulating commodity markets. We still have some way to go, to reach the ideal of unified regulation.

Unified regulation does not mean one node of regulatory authority. A financial conduct authority should supervise all financial markets but should, itself, function informed by the advice of a macroprudential regulator. From a single bank's point of view, the sensible thing might be to freeze lending, in a particular situation, but a macroprudential imperative might prod it to lend more, to prevent a systemic crisis.

THE ECONOMIC TIMES

7<sup>th</sup> March, 2017

# RBI, Scrap These Cash Transaction Charges

In February, the government said that 20 million new zero-balance bank accounts had been created, ostensibly to get India's underbanked citizens into the formal financial system. Less than a month later, three of the country's largest private sector banks — ICICI, HDFC and Axis — have imposed costs on consumers for transactions in cash at bank branches. Only four cash withdrawals or deposits would be free per account in a branch. From the fifth transaction, a minimum of ₹150 would be added on as cost. ICICI Bank would levy an additional ₹5 every ₹1,000 transacted. ATM transactions are exempt, they say: only branch transactions are affected. Oh, really?



A country of 1.33 billion people has less than 2.2 lakh ATM machines, mostly confined to metropolitan sites. Everybody else in the vast hinterland has to operate through branch banking. Restricting third-party cash transactions to ₹25,000 per day as HDFC Bank proposes, or ₹50,000 per day, as ICICI Bank will have it, along with these new cash transaction costs, can destroy small and medium business, the informal and farm economy, and slam the brakes on growth.

Zero-balance and salary accounts have not been spared the four-transactions-per-month rule by private banks. If the government and Reserve Bank of India (RBI) do not step in immediately to stop private banks from imposing these transaction costs, state-owned banks might also follow suit. If that happens, then the hope of extending formal banking to most of India will be proved a farce. A new banking apartheid, which favours wealthy customers and large transactions and excludes the small person from the banking system, will become the norm. The aim should be to make digital transactions so easy and costless as to make use of cash look foolish.

## RBI, scrap these cash transaction charges

THE ECONOMIC TIMES

3<sup>rd</sup> March, 2017

# RBI, scrap these cash transaction charges

- In February, the government said that 20 million new zero-balance bank accounts had been created, **ostensibly** to get India's under banked citizens into the formal financial system.
- Less than a month later, three of the country's largest private sector banks — ICICI, HDFC and Axis — have imposed costs on consumers for transactions in cash at bank branches.
- Only four cash withdrawals or deposits would be free per account in a branch. From the fifth transaction, a minimum of Rs 150 would be added on as cost.
- ICICI Bank would **levy** an additional Rs 5 every Rs 1,000 transacted. ATM transactions are exempt, they say: only branch transactions are affected. Oh, really?
- A country of 1.33 billion people has less than 2.2 lakh ATM machines, mostly confined to metropolitan sites.
- Everybody else in the **vast hinterland** has to operate through branch banking. Restricting third-party cash transactions to Rs 25,000 per day as HDFC Bank proposes, or Rs 50,000 per day, as ICICI Bank will have it, along with these new cash transaction costs, can destroy **small and medium business**, the informal and farm economy, and **slam** the brakes on growth.
- Zero-balance and salary accounts have not been spared the four-transactions-per-month rule by private banks. If the government and Reserve Bank of India (RBI) do not step in immediately to stop private banks from **imposing** these transaction costs, state-owned banks might also **follow suit**.
- If that happens, then the hope of extending formal banking to most of India will be proved a **farce**. A new banking **apartheid**, which favours wealthy customers and large transactions and excludes the small person from the banking system, will become the norm. The aim should be to make digital transactions so easy and costless as to make use of cash look foolish.

# RBI, scrap these cash transaction charges

THE ECONOMIC TIMES

3<sup>rd</sup> March 2017

## RBI, *scrap* these cash transaction charges

In February, the government said that 20 million new zero-balance bank accounts had been created, *ostensibly* to get India's under banked citizens into the formal financial system. Less than a month later, three of the country's largest private sector banks — ICICI, HDFC and Axis — have imposed costs on consumers for transactions in cash at bank branches. Only four cash withdrawals or deposits would be free per account in a branch. From the fifth transaction, a minimum of Rs 150 would be added on as cost.

# Scrap



Govt. decided to **scrap** FIPB.

**Scrap**

Discarded metal

**Scrap**

To not continue with a system

# FORMAL SECTOR AND INFORMAL SECTOR

## FORMAL SECTOR



**The Andhra Pradesh State  
Co-operative Bank Limited**  
A Government Partnered Scheduled Bank



# FORMAL SECTOR AND INFORMAL SECTOR

## INFORMAL SECTOR



**MONEY LENDERS**



**TRADERS**



**FRIENDS**



## Ostensibly

Her **ostensible** cheerfulness concedes sadness, as she lost her husband recently.



## Ostensibly

Appears to be one thing, but it is really something else

## Ostensibly

US Secretary of State  
was **ostensibly** on  
holiday, but actually he  
was on a diplomatic  
mission.



## **Ostensibly**

Used for saying that although someone pretends to have one reason for something, there is in fact another reason

# Apparently

*Apparently, it is  
going to rain today.*



**Apparently**

Something seems to happen, although it is not certain

# RBI, scrap these cash transaction charges

THE ECONOMIC TIMES

3<sup>rd</sup> March 2017

ICICI Bank would **levy** an additional Rs 5 every Rs 1,000 transacted. ATM transactions are exempt, they say: only branch transactions are affected.

Oh, really?

A country of 1.33 billion people has less than 2.2 lakh ATM machines, mostly confined to metropolitan sites.

# Levy



**Government proposes an additional 10% *levy* on the manufacture of alcohol.**

Amount of money such as tax, that has to be paid to a government or organization

## Levy



**Government will *levy* 40% duty on the imported goods.**

Levy, if it is used as a verb indicates the act of charging the tax

# RBI, scrap these cash transaction charges

THE ECONOMIC TIMES

3<sup>rd</sup> March 2017



## LEARNING SPACE

Everybody else in the **vast hinterland** has to operate through branch banking. Restricting third-party cash transactions to Rs 25,000 per day as HDFC Bank proposes, or Rs 50,000 per day, as ICICI Bank will have it, along with these new cash transaction costs, can destroy **small and medium business**, the informal and farm economy, and **slam** the brakes on growth.

# Vast

*Pharmaceutical industry generally requires **vast** sums on research and development.*



# Vast

Extremely large / of very great extent or quantity / immense

# Hinterland

*Democratic party candidate Hillary Clinton in 2016 USA Presidential elections could not gauge the mood of the people of **hinterland**.*



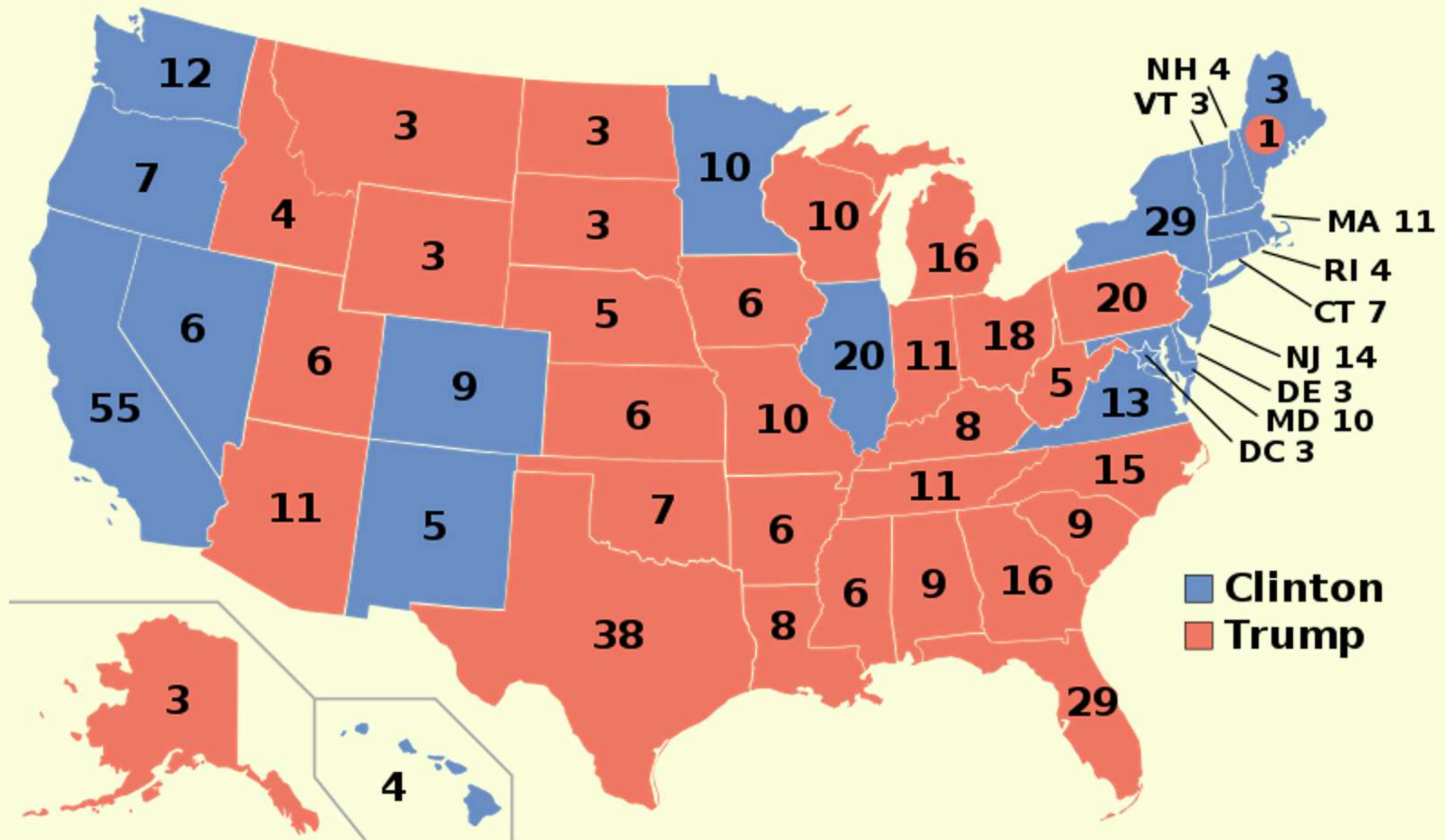
Donald Trump



Hillary Clinton

## Hinterland

Remote areas of the country, away from the coast or banks of major rivers



# Hinterland

*The growth of various cities in agri-rich areas in our country is dependent on the **hinterland** adjoining the cities.*



## **Hinterland**

The area that surrounds a big city or port and on which the city or port depends for economic growth

## Classification of MSMEs as per MSMED Act, 2006

| <b>ACTIVITY OF ENTERPRISE</b> | <b>MANUFACTURE/PRODUCTION OF GOODS</b>                | <b>RENDERING OF SERVICES</b>                         |
|-------------------------------|-------------------------------------------------------|------------------------------------------------------|
| <b>TYPE OF INVESTMENT</b>     | <b>PLANT AND MACHINERY</b>                            | <b>EQUIPMENT</b>                                     |
| <b>MICRO ENTERPRISE</b>       | <b>UP TO Rs. 25 LAKHS</b>                             | <b>UP TO Rs. 10 LAKHS</b>                            |
| <b>SMALL ENTERPRISE</b>       | <b>MORE THAN Rs. 25 LAKHS AND UP TO Rs. 5 CRORES</b>  | <b>MORE THAN Rs. 10 LAKHS AND UP TO Rs. 2 CRORES</b> |
| <b>MEDIUM ENTERPRISE</b>      | <b>MORE THAN Rs. 5 CRORES AND UP TO Rs. 10 CRORES</b> | <b>MORE THAN Rs. 2 CRORES AND UP TO Rs. 5 CRORES</b> |

- ✓ The above cost excludes the cost of land and buildings.
- ✓ Micro, Small and Medium Enterprises come under priority sector lending.

# ORGANISED SECTOR AND UNORGANISED SECTOR

## ORGANISED SECTOR



# ORGANISED SECTOR AND UNORGANISED SECTOR

## UNORGANISED SECTOR



# Slam



**Slam**

Shut a door with force



Donald Trump

*The USA President Donald Trump has been **slammed** by critics across the world for his tough immigration policies.*

**Slam**

To move against something with great force /criticize someone or something severely

# RBI, scrap these cash transaction charges

THE ECONOMIC TIMES

3<sup>rd</sup> March 2017



## LEARNING SPACE

...Transforming Human Lives

Zero-balance and salary accounts have not been spared the four-transactions-per-month rule by private banks. If the government and Reserve Bank of India (RBI) do not step in immediately to stop private banks from **imposing** these transaction costs, state-owned banks might also **follow suit**.

# Impose

*Under GST, around 30 to 40% of demerit tax is proposed to be **imposed** on cigarettes. This is known as Sin tax.*



## Impose

Officials force a rule, tax or punishment and it is to be obeyed

## Follow suit

*As Reliance Jio slashed the prices of data, other telecom operators have been forced to **follow suit**.*



Reliance  
**jio**



**vodafone**

## Follow suit

To follow in the same pattern / to follow (someone else's) example

# RBI, scrap these cash transaction charges

THE ECONOMIC TIMES

3<sup>rd</sup> March 2017



## LEARNING SPACE

...Transforming Human Lives

If that happens, then the hope of extending formal banking to most of India will be proved a **farce**. A new banking **apartheid**, which favours wealthy customers and large transactions and excludes the small person from the banking system, will become the norm. The aim should be to make digital transactions so easy and costless as to make use of cash look foolish.

# FORMAL SECTOR AND INFORMAL SECTOR

## FORMAL SECTOR



**The Andhra Pradesh State  
Co-operative Bank Limited**  
A Government Partnered Scheduled Bank



# FORMAL SECTOR AND INFORMAL SECTOR

## INFORMAL SECTOR



**MONEY LENDERS**



**TRADERS**



**FRIENDS**



## Farce

Normally, the trial /  
judicial process against  
politicians in our country  
ultimately turn out to be a  
**farce.**



## Farce

An empty or ridiculous act, proceeding or situation

# Farce

*The meeting convened by the flood effected persons turned out to be a **farce**.*



## Farce

A situation that is very badly organized or unfair

# Apartheid

*South Africa suffered badly because of **apartheid** and finally it ended because of Nelson Mandela.*



# Apartheid

A political system in which people of different races are separated

## Finance Calls for Unified Regulation

The spat between Sebi and the RBI underlines it

Too much need not be read into a letter from markets regulator Sebi to banking regulator RBI on the latter's direct instructions to market participants in relation to trading in HDFC Bank shares. Sebi is in the right. The conduct of trade in securities is its business. The RBI, as the regulator for banks, is responsible for maintaining sectoral foreign investment caps. When the possibility of foreign investment in HDFC Bank breaching the permitted cap became clear, the RBI intervened to ask custodians to not clear trades any further. At first blush, it would seem that the right thing would have been for the RBI to ask Sebi to act. However, that is not the ideal solution.

The ideal solution is not for different regulators of the financial sector to cooperate, each minding the other's turf. The ideal solution is to have unified regulation of the financial sector, eliminating the question of turf transgression or unregulated no-man's land in financial markets. Financial markets intersect with one another;



the more developed they are. Credit default swaps (CDS) insure against the possibility of a bond holder not being paid when the time comes for its redemption. After the 2008 financial crisis, the effort has been to make credit default swaps guaranteed by a counterparty, as far as possible. That means

CDS should come under the purview of the markets regulator, although they are quintessentially insurance products. India took a significant step forward towards unified regulation when a separate commodities regulator was scrapped and Sebi was given charge of regulating commodity markets. We still have some way to go, to reach the ideal of unified regulation.

Unified regulation does not mean one node of regulatory authority. A financial conduct authority should supervise all financial markets but should, itself, function informed by the advice of a macroprudential regulator. From a single bank's point of view, the sensible thing might be to freeze lending, in a particular situation, but a macroprudential imperative might prod it to lend more, to prevent a systemic crisis.

# DISCUSSION ON

## 9<sup>th</sup> Mar (tomorrow)

# THE ECONOMIC TIMES

## 7<sup>th</sup> March, 2017